

JOURNAL OF EDUCATIONAL MANAGEMENT AND SUPERVISION (JEMAS)



Published in the Department of Educational Administration and Planning,
Joseph Sarwuan Tarka University, Makurdi

Economic Implications of Fuel Subsidy Removal in Nigeria.

by

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Abstract

Fuel subsidies, often viewed as a means to provide financial relief to consumers and stimulate economic activity, have significant implications for national economies. The authors offer some insight into the implications of the 2023 subsidy removal in Nigeria. The positive implications are that fuel subsidy removal would free up financial resources for other sectors of the economy, incentivize domestic refineries to produce more petroleum products, reduce Nigeria's dependence on imported fuel, increase employment, channel funds for the development of critical public infrastructure, reduce the budget deficit and generate a budget surplus in the near future, reduce government borrowing, curb corruption associated with fuel subsidy payments, increase competition, reinvigorate domestic refineries and reduce pressure on the exchange rate. The negative implications are that fuel subsidy removal may decrease economic growth in the short term, increase inflation, increase poverty, increase fuel smuggling, increase crime, increase the prices of petroleum products and loss of jobs in the informal sector. While the removal of subsidies can potentially improve fiscal health and encourage energy efficiency, it often leads to higher

prices for goods and services, exacerbating poverty and inequality. The paper also discusses the long-term benefits of fuel subsidy removal in fostering sustainable economic development and transitioning to greener energy alternatives. Drawing on case studies from countries that have implemented subsidy reforms, this paper examines both the immediate and long-term effects on various sectors of the economy.

Keywords: Fuel subsidies, economic implications, inflation, subsidy removal, sustainable development.

Introduction

Fuel subsidy is a government discount on the market price of fuel to make consumers pay less than the prevailing market price of fuel (Ovaga and Okechukwu, 2022). When subsidies are in place, consumers would pay below the market price per litre of the petroleum product. Globally, there are debates about fuel subsidy because of its huge amount and its effect on citizens' welfare and the fiscal health of a nation. In Nigeria, fuel subsidies were first introduced in the 1970s as a response to the oil price shock in 1973. Fuel subsidies were partially removed in 1986. Some studies identify some benefits of fuel subsidy and call for transparency in the administration of fuel subsidy while other studies highlight the negative consequences of fuel subsidy and advocate for its removal. For example, Omitogun et al (2021) show that the removal of fuel subsidy might reduce the amount of carbon emission in the Nigerian economy. Similarly, Adekunle and Oseni (2021) argue that fuel subsidy removal could reduce the growth in carbon emissions through low energy consumption channels even though it could lead to higher energy prices. Asare et al (2020) argue in support of fuel subsidy removal and that the revenue gained from removing fuel subsidy could provide additional resources for the government to respond with immediate interventions. Other studies highlight the consequence of fuel subsidy removal. Umeji and Eleanya (2021) argue that Nigerian oil wealth has not translated to improved standard of living despite the introduction of fuel subsidy, and that fuel subsidy removal could have severe consequences which can be mitigated by transparency on the part of government in spending the funds saved from fuel subsidy removal for infrastructural development. Also, Ovaga and Okechukwu (2022) argue that fuel subsidy breeds corruption in Nigeria because a group of corrupt people have been working against the functioning of existing refineries and they undermine efforts to build new refineries in Nigeria so that fuel importation would be sustained and fuel subsidy would be retained for the purpose of satisfying their selfish desires. Omotosho (2020) points out that fuel subsidy removal could lead to higher economic instability through rising energy prices and inflation in Nigeria.

Furthermore, McCulloch, Moerenhout and Yang (2021) show that many Nigerian citizens oppose fuel subsidy removal or reforms because they believe the government is corrupt and lacks the capability to undertake transparent reforms. Despite these evidence in the literature, there is little or no discussion about the impact of the recent fuel removal in Nigeria in 2023. The way the fuel subsidy was removed, without first

providing some palliatives, led to controversy about how the fuel subsidy removal would affect the Nigerian economy and Nigerians. Therefore, there is a need to identify and understand the implications of the 2023 fuel subsidy removal in Nigeria. This paper provides a rigorous assessment of economic and implications of the recent fuel subsidy removal in Africa's largest economy –Nigeria.

The Positive Economic Implications

1. The saved funds from fuel subsidy removal would be channeled to develop critical

public infrastructure: There is a consensus among academic economists that the funds used for subsidy payments can be channeled to public infrastructure spending (Ajekodunmi, 2013). Prior to the removal of fuel subsidy, Nigeria did not have sufficient money to fund the development of critical public infrastructure. The lack of sufficient funds led the government to incur huge debts to finance the budget. However, with the removal of fuel subsidy in 2023, the government could use these funds and channel them appropriately for the purpose of developing critical public infrastructure in Nigeria. This outcome can only occur if the government is transparent, honest and is held to account, to ensure that the saved funds from fuel subsidy removal are channeled to the development of critical public infrastructure.

2. Financial resources are freed up for the development of other sectors:

Other studies suggest that the savings from fuel subsidy removal could be channeled for the development of other sectors of the economy (Ahmed & Olugbenga, 2023). In addition to developing Nigeria's critical public infrastructure, the removal of fuel subsidy can free up financially resources for the development of other sectors that require significant government intervention and funding. The funds that would have been used for fuel subsidy payment could be channeled to sectors such as agriculture, healthcare, tourism, education and to fund the implementation of the Student Loan Act. Prior to the removal of fuel subsidy, many sectors of the economy did not perform optimally due to weak private sector investment and an abysmal level of public expenditure into those sectors due to insufficient government revenue. With the removal of fuel subsidy, it is hoped that the Federal Government would channel the freed-up resources into other sectors that need government funding.

3. Fuel subsidy removal will reduce the budget deficit and could generate a budget

surplus in the near future: Another positive major implication of the removal of fuel subsidy is that the funds would be used to fund the current budget deficit. Existing studies show that fuel subsidy contributes to Nigeria's rising fiscal deficit and call for the need to remove fuel subsidy (Adagunodo, 2022).

4. Reduced government borrowing

There have been debates about the adverse effect of fuel subsidy payments on government

borrowing (Okongwu and Imoisi, 2022). Since the start of the fuel subsidy regime, the Nigerian government has been borrowing, and the borrowing worsened during the 2016 recession and the 2020 COVID-19 pandemic (Ozili, 2022).

5. Increase in employment: Another positive economic implication of the fuel subsidy removal is that it would create jobs. The total deregulation of the downstream sector will allow more companies to import fuel at competitive rates (Olujobi, 2021). These companies will hire workers, thereby creating jobs. Also, the reinvigoration of domestic refineries in Nigeria will lead to job creation. Furthermore, when the Dangote refinery starts producing, it could create more than 10,000 direct jobs in Lagos alone and over 30,000 indirect jobs across Nigeria, thereby increasing the level of employment.

6. Strengthen the exchange rate or reduce pressure on the exchange rate: Following the removal of fuel subsidy, the government should allow domestic refineries to produce more crude oil and other petroleum products. This will reduce the importation of petroleum products and increase the exportation of locally produced petroleum products (Akinola, 2018). This, in turn, will conserve foreign exchange from imported petrol and increase foreign exchange accretion from exported petrol. The foreign exchange accretion will boost foreign exchange supply in the foreign exchange market and strengthen the Naira against the U.S. Dollar. This, in turn, will lead to the appreciation of the Naira and an improved exchange rate. For example, the Dangote Refinery which has a refining capacity of 650,000 barrels per day, can meet Nigeria's domestic demand for refined petroleum products, reduce petrol importation and generate a surplus for export. As a result, the government could save billions of dollars spent on petroleum imports, and such savings could be used to ease the pressure on the exchange rate and improve trade balances.

7. Reduce Nigeria's dependence on imported petrol

If the removal of fuel subsidy is followed by the reinvigoration of Nigeria's domestic refineries, it could incentivize domestic refineries to produce more petroleum products and reduce Nigeria's dependence on imported fuel (Akinola, 2018). Consider the newly created Dangote Refinery. It has a massive refining capacity of 650,000 barrels per day, which is sufficient to meet Nigeria's domestic demand for refined petroleum products, generate a surplus for export, and reduce petrol importation significantly.

The presence of fuel subsidy in the last decade encouraged fuel-based economic activities that increase air pollution and carbon emission in Nigeria. The CO₂ damage in Nigeria, which is partly attributed to fuel subsidy, rose from US\$1.5bn in 1998 to US\$5.23bn in 2021. The removal of fuel subsidy in Nigeria would support ongoing climate change mitigation efforts and reduce Nigeria's contribution to global greenhouse gas emissions by 2030. Fuel subsidy removal in Nigeria would also decrease both the demand and supply of fuels, thereby reducing carbon emission in Nigeria (Omitogun et al, 2021).

Negative Macroeconomic Implications

1. Decrease in economic growth in the short-term

One negative economic implication of the removal of fuel subsidy is that the rate of economic growth could decrease (Houeland, 2020). The fuel subsidy removal would lead to increase in price of essential goods and services. As a result, there would be fewer disposable income in the hands of individuals and small businesses due to rising prices, stagnant wages, and a fixed national minimum wage. This will lead to a reduction in consumption expenditure and would act as a drag on aggregate demand. The reduction in consumption would translate to weak consumer demand for the goods and services produced by firms. This, in turn, could decrease economic output and gross domestic product, and slow the rate of economic growth.

2. High inflation and reduced purchasing power

Another negative economic implication of the removal of fuel subsidy is that the inflation rate would increase (Mohammed, Ahmed and Adedeji, 2020). The removal of fuel subsidy led to a rise in the price of petrol from a subsidized price of ₦190 in May 2023 to an unsubsidized price of ₦537 in June 2023 and ₦617 in July 2023 in Abuja. However, the price of petrol could rise above ₦600 in the far North such as in Borno State due to high transportation cost. The implication is that the price of most consumer and industrial goods, which are produced or transported with petrol, will increase sharply. The cost of bread will increase, and the cost of local transportation will also increase, making it expensive to afford for poor individuals and low-income earners. The effect will also be felt by both the rich and the poor, but as always, the poor will suffer the most, through a significant reduction in their purchasing power. The inflation effect could be further worsened by the late rollout of palliatives by the Federal Government to support the poor and households who are affected by the rise in the price of essential goods and services immediately after fuel subsidy removal.

3. Increase in poverty and vulnerability

A negative economic implication of the removal of fuel subsidy is that it will increase poverty in the short term (Raji, 2018). It will lead to immediate pain and hunger for families. At the individual level, the removal of fuel subsidy, and without any palliatives, could lead to fewer disposable income, fewer food in the land, fewer medicine for sick people, and inability to afford basic education in several parts of the country especially in the Northern region of Nigeria. More families will go hungry, more children will cry in hunger and more parents will cry at their children's despair. The poor and middle-class consumers will witness a fall in their purchasing power, and small businesses will find their profit margins squeezed because they will face higher costs and reduced sales volumes. And if they attempt to pass on the cost to consumers, consumers might refuse to buy or they will reduce the quantity purchased, thereby leading to low business patronage. Furthermore, the fuel subsidy removal could affect poor vulnerable groups disproportionately if there are no economic safety nets or social assistance programmes that can alleviate the economic hardship caused by the fuel subsidy removal.

4. Social unrest and protest

Another negative microeconomic implication of the removal of fuel subsidy is that it could lead to rotests and social unrest (Houeland, 2020). The rise in the price of petroleum products could trigger protests. If the prices continue to go up, poor households will be pushed to the wall and will be left with no option but to engage in protest and social unrest to get the government to reverse the fuel subsidy removal.

5. Rise in fuel smuggling

Another negative economic implication of the removal of fuel subsidy is the potential for fuel smuggling. The increase in the price of petrol following the removal of fuel subsidy may increase the smuggling of cheaper fuel into Nigeria from neighboring countries, as opposed to the case when people smuggled Nigeria's cheap fuel to Niger Republic when the fuel subsidy was still in place (Idrisu, 2020). With the removal of fuel subsidy, there is likely to be an increase in the smuggling of cheaper fuel to the rural areas in Nigeria as many people in the rural areas cannot afford to buy fuel at the cost of ₦537.

6. Rise in crime

Another negative economic implication of the removal of fuel subsidy is the potential for crime to increase (Shagali and Yusuf, 2022). The increase in the price of petrol following the removal of fuel subsidy might lead to other forms of crime such as theft of petrol from refinery warehouses, people's cars, residential houses and from people's electric generator. The crime rate could worsen as more Nigerians struggle to make ends meet.

7. Increase in the prices of petroleum products

The removal of fuel subsidy has led to the rise in the prices of petroleum products. This has led to low demand for petrol, and a reduction in the quantity of petrol purchased. The declining demand will narrow the profit of small businesses that rely on petrol. Everyone will feel the effect, but as always, the poor will suffer the most. Although there is the argument that the fuel subsidy removal in 2023 will bring competition among petrol marketers and the competition would drive prices downwards, this expectation is purely academic, and is unlikely to occur in the near future, because the price of crude oil in the international market will largely determine the prices of petroleum products in Nigeria. The implication is that the current soaring prices of petroleum will remain this way for a long time (Raji, 2018).

8. Loss of job in the informal sector

The removal of fuel subsidy will lead to job loss in the informal sector that rely mostly on PMS or petrol (Houeland, 2022). The formal sector uses mostly diesel for their activities while the informal sector relies mostly on petrol. The rise in petrol prices would lead to the shutdown of small

businesses that cannot afford the rising cost of petrol and whose profit margins have been completely eroded by fuel subsidy removal in the formal sector.

Recommendations

The researchers, therefore, wish to recommend as follow:

1. Nigeria needs a comprehensive strategy to ensure that the fuel subsidy removal benefits the environment as higher fuel prices discourage individuals from utilising private vehicles and lead to a shift to public transportation vehicles that release substantial amounts of pollutants into the environment than private cars. Such pollutants will harm air quality and public health.
2. Nigerian government should ensure that a part of the
3. saved funds from fuel subsidy removal is used to upgrade the public transportation infrastructure and to support the use of public transport vehicles that contribute little to climate change in order to protect the environment.
4. Nigerian households have a culture of coping with pain, and this is evident in the little number of protests that have taken place in the last 10 years. Therefore, it is expected that Nigerian households would cope with the adverse price effect of the fuel subsidy removal, and their coping culture could manifest through the immediate change in consumption and spending behaviour. It can lead to a reduction in transportation expenses as many people will avoid unnecessary movements and travels. Households will avoid impulse purchases as a coping strategy, while some will avoid luxury purchases and unnecessary social gatherings that require the spending of money. These cultural practices and societal norms could influence people's reactions to the policy change.
5. The removal of fuel subsidy and the associated rise in petrol should stimulate discussions about how the funds saved from fuel subsidy removal, can be strategically allocated to promote sectors with high growth and job creation potentials, such as renewable energy, technology, agriculture, and manufacturing.
6. The removal of fuel subsidies might impact different regions in Nigeria. Certain regions would be more vulnerable to the negative consequences of fuel subsidy removal than other regions. The differential regional impact is due to inequality in regional development in the country, as some regions are more developed and have a low poverty rate compared to other regions with an extreme poverty rate. Therefore, policymakers should consider how regional disparities or inequalities may affect the policies designed to cushion the effect of fuel subsidy removal across all regions in Nigeria. Also, political economy and governance challenges could arise when oligopolists (i.e., the few major marketers) emerge and control the supply or importation of petrol in their favour. The selling price of the oligopolists may be influenced by vested interests. There could also be political dynamics, and other challenges that could affect the success of the fuel subsidy removal regime.

Conclusion

Removing fuel subsidies has major economic implications for governments, consumers, and the broader economy. While it can lead to fiscal savings, better use of resources, and increased energy efficiency, it also brings challenges like inflation, poverty, and social unrest. Looking at the experiences of Nigeria, Iran, and Indonesia, it's clear that the success of subsidy removal depends on how well governments plan and manage the transition.

Nigeria's experience shows the risks of sudden changes, leading to unrest and instability when reforms aren't carefully managed. On the other hand, Iran's approach focused on planning ahead, offering cash transfers, and controlling prices to cushion the impact on the public. Indonesia, with its more gradual approach, demonstrated that clear communication and targeted support can ease the process and keep things stable, even with major reforms. To make sure the reform works and doesn't hurt vulnerable groups, it's crucial that governments set up safety nets, provide direct transfers, and invest in things like infrastructure and energy efficiency. These steps help ensure that the benefits of subsidy removal reach everyone, especially those who are most affected.

As the global economy keeps changing, fuel subsidy reform will remain a key challenge for governments. By learning from the experiences of countries like Nigeria, Iran, and Indonesia, policymakers can better navigate the tough decisions involved in moving toward a more sustainable, equitable, and energy efficient future. And as new economic challenges come up, ongoing innovation and adaptation will be essential to make sure these reforms work in the long run.

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